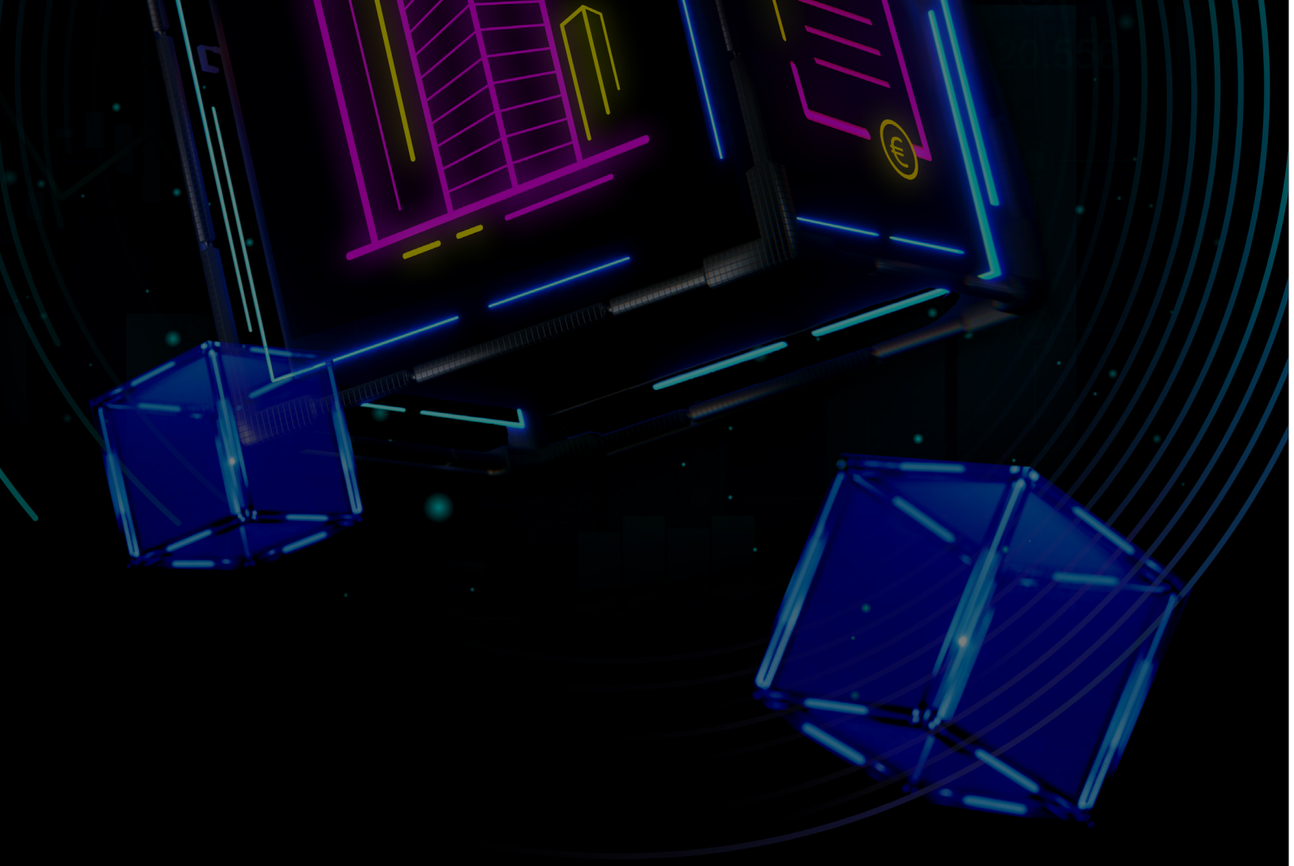
Deloitte.

6 Monks (6M)

Decentralized Finance (DeFi)
A new infrastructure for investment funds

Whitepaper





Introduction

PART 1 — What is DeFi?
A parallel to traditional finance, built on blockchain

PART 2 — DeFi in practice
How to navigate through risks?

PART 3 — From theory to practice
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Conclusion

Introduction

As market participants have grown more comfortable engaging with crypto-assets over the past few years, DeFi has also become more widely accessible and better understood. Beyond the emergence of tangible use cases pointing to new directions for the financial sector, the market has developed a stronger understanding of the mechanics and potential of this alternative approach to financial transactions, creating a positive feedback loop that continues to support adoption.

Concretely, more than USD 100 billion[1] is already deployed worldwide across DeFi platforms providing exposure to above-average yields. Yet a considerable number of European fund managers remain on the sidelines, watching a parallel financial infrastructure mature without them.

The reality is this: DeFi is not about replacing existing investment strategies; it is about enhancing them. For asset managers navigating compressed yields, rising compliance costs, and demanding limited partners, DeFi offers something increasingly scarce in traditional markets: access to uncorrelated yield, combined with institutional-grade transparency.

This paper unpacks one of DeFi's core use cases, namely on-chain lending and borrowing, not from a speculative lens, but as a practical extension to the investment toolkit. It explores how these mechanisms can support diversification, liquidity management, and yield enhancement. Whether you oversee a family office or a EUR 500 million multi-strategy vehicle, understanding this application of blockchain can offer a tangible competitive edge.

We invite you to explore what DeFi really is, how it compares with traditional finance, and why Luxembourg-based managers are already beginning to engage with this space.

1. Source: www.defillama.com

PART 1

What is DeFi?

Financial services without intermediaries

The core concept: Financial services without intermediaries

Decentralized finance refers to financial services—including lending, trading, derivatives, and asset management—executed through smart contracts on public blockchains such as Ethereum, Solana, or Arbitrum. At its core, DeFi is financial infrastructure powered by code rather than rules and processes enforced by traditional financial institutions.

The shift is operational and brings what we have started to observe in traditional finance leveraging tokenization to an entirely disintermediated stage:

- **Trading:** Shift from sequential security value chain to distributed ledger infrastructures enabling near-atomic trading and settlement, aligned with the move from T+2 to T+1 and ultimately T+0, with reduced clearing.
- **Clearing:** Transparent and auditable smart contracts replace certain functions traditionally performed by clearing houses.
- **Lending:** Users interact directly with protocols[2] rather than submitting applications to banks or other traditional financial intermediaries.

Four defining characteristics distinguish DeFi from traditional financial infrastructures:

1. **Protocol-based execution**
   With rules embedded directly into smart contracts—self-executing programs that trigger actions once predefined conditions are met—DeFI moves beyond tokenisation efficiencies observed in traditional finance. Its execution layer goes a step further, with protocols running actions autonomously. For example, if the value of a loan exceeds 80% of the collateral value, the protocol can automatically liquidate part of the collateral to restore the required ratio. No credit committee or manual intervention is required; monitoring and liquidation mechanisms operate continuously, 24/7.
2. **Built-in transparency**
   Transactions, interest-rate adjustments, and collateral movements are recorded on public blockchains and can generally be verified in real time. This enables fund managers to reconcile positions and assess protocol health, reserves, and risk exposure with a level of visibility that is often difficult to achieve in traditional finance.
3. **Frictionless accessibility**
   Any entity with a crypto wallet—whether a Luxembourg AIF or a Singapore-based family office—can access the same lending pools, often under the same market conditions and at any time of day. DeFi therefore enables cross-jurisdictional access through a shared, and interoperable financial infrastructure.
4. **Composability**
   DeFi is built on interoperability between applications and networks. The output of one protocol becomes the input of another without bespoke integration work. For example, depositing assets into a lending protocol can create a value-accruing token representing that position; that token can then be posted as collateral to access additional liquidity, which can in turn be redeployed into a separate yield-generating strategy on a third protocol, all while the original position continues to accruing interest. This "money Lego" logic allows DeFi market participants to layer different "blocks" of positions to build tailored strategies.

While the absence of regulated intermediaries can create opportunities for greater efficiency and utility, readers should remain mindful of the associated risks, as further detailed in the following sections of this paper.



2. A protocol is an autonomous software system built on blockchain that executes financial operations through pre-programmed rules.

DeFi lending and borrowing: A global marketplace, accessible 24/7

Consider a lending and borrowing marketplace in which smart contracts instantly record transactions and monitor collateral in real time through algorithmic systems, eliminating manual reconciliation and back-office oversight entirely. Interest rates adjust dynamically based on supply and demand, visible to all participants at all times, while settlement completes in minutes rather than the T+2 or T+3. This is not theoretical: such systems exist today, processing billions of dollars in lending volume each month.

TradFi versus DeFi: Where they converge and diverge

DeFi has graduated from experiment to infrastructure. But how does it truly compare against traditional finance?

The key takeaway

DeFi does not eliminate risk, it transforms it. Traditional counterparty risk—risk of failure, reputational risk—is replaced by smart contract risk, centered on code integrity and potential vulnerabilities. For institutional investors, the question is therefore not which infrastructure (TradFI or DeFI) to choose, but where each delivers the greatest comparative advantage, and how to combine both to optimize outcomes.

Feature	Traditional lending	DeFi lending
Collateral	Credit score, income verification, assets	Crypto-assets (e.g., live LTV monitoring 66%-80%)
Approval time	Days to weeks	Seconds to minutes
Interest rates	Set by intermediaries	Set by supply and demand
Counterparty risk	Intermediaries default risk	Smart contract code risk (no human intermediary)
Liquidity	Locked funds	Instant withdrawals in most protocols
Operational hours	Business day, 9-5	24/7/365, globally accessible

Understanding DeFi yield: Mechanics, sources, and sustainability

In DeFi lending protocols, yields are generated from a single, identifiable source: borrowers pay interest for liquidity, and that interest flows directly to lenders without intermediary markups.

Interest rates are set algorithmically in real time, based on the utilization ratio of each lending pool: the share of supplied assets that is actively borrowed. When demand for borrowing is high relative to available liquidity, rates increase; when supply exceeds demand, yields compress.

On the demand side, crypto-native actors primarily drive activity: traders seeking leverage on digital assets, market makers managing liquidity across venues, and DeFi protocols bootstrapping their own liquidity. This demand profile is structurally distinct from the drivers of traditional fixed-income yields, which are anchored in macroeconomic conditions, central bank policy, and sovereign or corporate creditworthiness. Consequently DeFi yields are largely uncorrelated with traditional fixed-income ones as detailed in Figure 1 below.

A critical feature of DeFi lending is its overcollateralized design. Borrowers must post collateral exceeding the value of what they borrow, typically at loan-to-value ratios above 66%. If the value of that collateral falls below the required threshold, the protocol automatically liquidates a portion of it to repay the loan, without human intervention. This mechanism substantially reduces credit risk for lenders.

Why fund managers should pay attention now

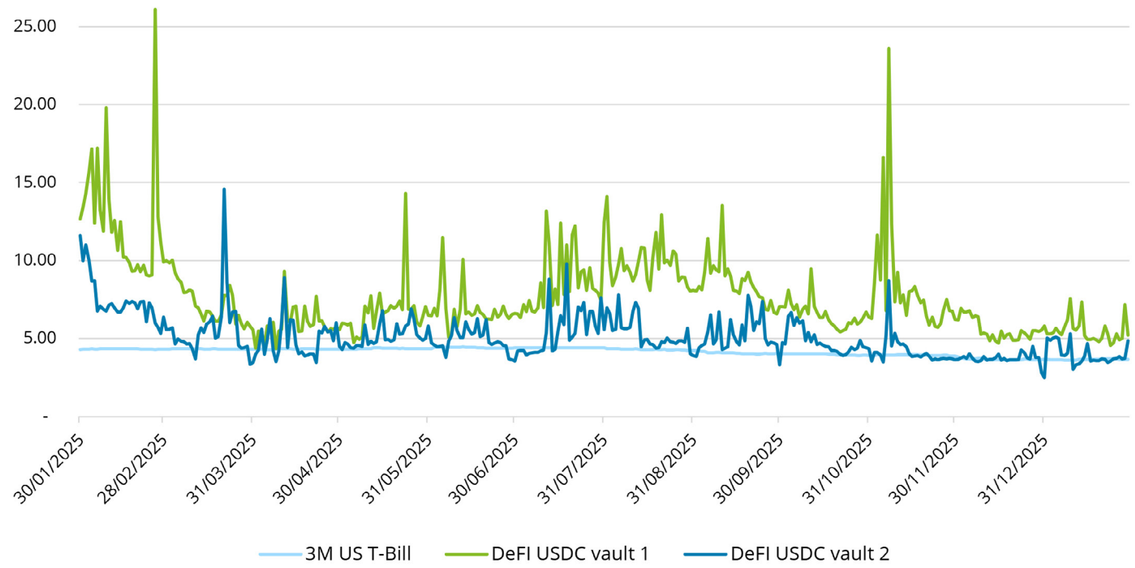
DeFi lending is not a replacement for existing fixed-income or treasury management strategies, but it complement them as an additional source of yield generation.

Diversification of yield sources

Traditional fixed-income yields remain compressed. DeFi protocols currently offer approximately 4-8% on stablecoin strategies,[3] which is competitive compared to some of traditional fixed-income strategies (government bonds: 2-4%; investment-grade credit: 5-6%),[4] but with fundamentally different risk profiles.

2025 yield analysis: US treasury bills versus DeFI

Figure 1 – Overview of annualized yield spreads between 3-Month US T-Bills and illustrative USDC DeFi vaults



3. Sources: DeFi Llama, US Treasury, ICE BofA Indices.
4. Yields as of Q1 2025, subject to market conditions.

2025 log return comparison: Correlation analysis of US treasury bills versus DeFI

Figure 2 – Annualized return correlation matrix between 3-month US T-bills and illustrative USDC DeFi vaults

	3M US T-Bill	USDC Supply rate (AAVE)	DeFI USDC vault 1	DeFI USDC vault 2
3M US T-Bill	100%	6%	1%	-3%
USDC Supply rate (AAVE)	6%	100%	19%	-8%
DeFI USDC vault 1	1%	19%	100%	15%
DeFI USDC vault 2	-3%	-8%	15%	100%

Stablecoins lending as a volatility shield

Many institutional investors are interested in crypto-assets and its applications but remain reluctant to accept their inherent volatility. Lending stablecoins solves this problem. By doing so, using USDC or EURCV, you achieve three objectives simultaneously.

- You earn yield (typically 4-8%) comparable to or exceeding traditional fixed income.
- You maintain a stable 1:1 exposure with no directional crypto market risk.
- You gain operational familiarity with blockchain infrastructure (wallets, transactions, gas fees).

This is the entry point that first-movers are exploring: stablecoin strategies on blue-chip DeFi protocols with deep liquidity that deliver yield and blockchain fluency without directional volatility exposure.

What about DeFi fixed income?

DeFi continuously imports and adapts concepts from traditional finance for on-chain markets. One example is fixed-rate lending, which replicates traditional bond market mechanics by allowing lenders and borrowers to lock in a known rate for a defined period. This replaces the floating-rate model used in standard DeFi lending, while retaining core DeFi-native benefits, such as transparency, permissionless access, and composability.

At the time of writing, the most prominent model is yield tokenization.* While its mechanics are based on floating rate products—in which investors lend stablecoins into DeFi lending protocols, and receive a yield-bearing position as a transferable token—a fixed-rate lending or trading layer then splits this position into two tokens:

- Principal Tokens (PTs), which are redeemable at full value at maturity; and
- Yield Tokens (YTs), which entitle holders to the interest generated during that period.

Investors can buy PTs at a discount. For example, paying approximately USD 97.1 today for USD 100 of USDC in six months implies a return of roughly 3% over the period, or around 6% annualized. This makes PTs economically similar to zero-coupon bonds in traditional finance.

For traditional asset managers, DeFi fixed income can offer more predictable cash flows over defined maturities while preserving the accessibility and transparency of on-chain markets.

* Market events have occurred since the time of writing, notably the launch of Morpho's "Midnight", a fixed-income product which introduces a novel approach by enabling fixed-rate loans through matching lenders and borrowers in a loan order book, similar to a peer-to-peer credit marketplace.

What comes next

You now have an overview of what DeFi is, how it parallels traditional finance while exhibiting key structural differences, and why it represents a relevant opportunity for institutional portfolios. However, recognizing the opportunity is only the first step. Before allocating capital, prudent fund managers must address two critical questions.

1. **What are the specific risks, and how can they be managed?** DeFi introduces risk factors that are less prevalent or absent in traditional finance, including smart contract vulnerabilities, custody and key-management complexities, liquidity constraints, and evolving regulatory frameworks. These characteristics do not, in themselves, constitute a reason to exclude DeFi, but they do require disciplined risk assessment, appropriate governance, and specialist knowledge.
2. **How can institutional investors access this market in a manner consistent with their operational capabilities and regulatory requirements?** Not every institutional investor needs to develop in-house blockchain engineering capabilities. A range of access models now exist that can provide DeFi exposure while preserving the operational simplicity, risk controls, and regulatory protections that institutional allocators expect.

Whether you are a private bank taking your first steps into digital assets or a multi-strategy AIFs exploring yield diversification, Part 2 will outline a structured decision framework to support informed and compliant engagement with DeFi markets.





PART 2

DeFi in practice

How to navigate through risks?

This section does not seek to catalog every risk associated with DeFi. Instead, it focuses on specific risk dimensions relevant to asset managers deploying institutional capital in DeFi: technological execution, liquidity dynamics, and custody infrastructure.

Technological risks: Smart contract vulnerabilities

The nature of smart contract risk

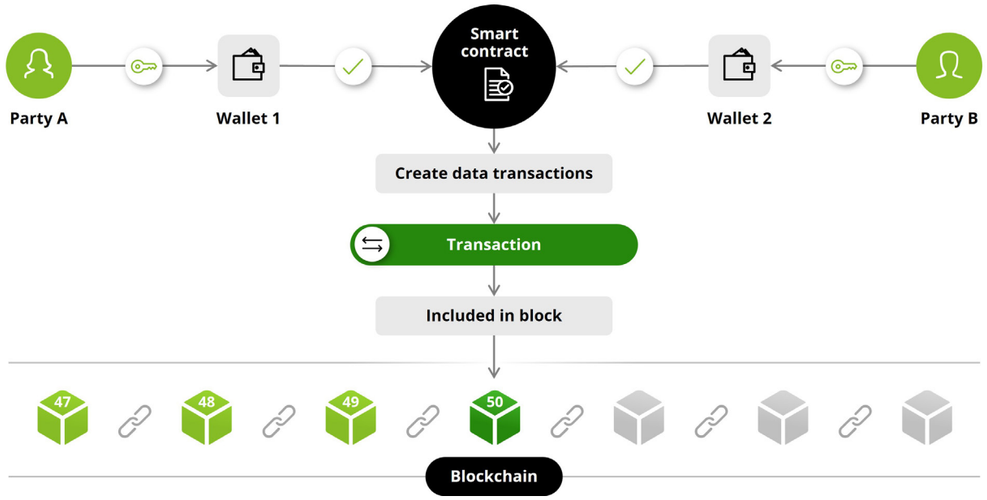
In traditional lending, legal arrangements and intermediaries enforce contractual obligations. DeFi replaces these mechanisms with smart contracts. When capital such as USDC is deposited into a DeFi protocol, smart contracts are responsible for recording balances, calculating interest, and managing liquidations according to predefined algorithms.

This creates a fundamental risk: code vulnerabilities. Smart contracts can contain bugs, logic errors, or hidden backdoors. Unlike traditional legal contracts, where disputes can be resolved through courts or arbitration, smart contract code is effectively immutable once deployed. If a flaw exists, it can be exploited rapidly and, in many cases, irreversibly, with no counterpart to turn to. In that context using professional services from an institutional player responsible for protocol screening and due diligence is paramount.

Recent high-profile incidents illustrate the severity of this risk. The Euler Finance exploit in March 2023, for example, resulted in USD 197 million of losses due to a vulnerability in the protocol's donation function. The Curve Finance incident in July 2023, linked to a Vyper compiler bug, led to losses of roughly USD 70 million. These examples demonstrate that even widely used and "battle tested" protocols can remain exposed to undiscovered vulnerabilities[5].

Illustration of smart contract interactions

Figure 3 – Illustrative overview of interactions between users, smart contracts and the blockchain



5. Zellic, "Euler Finance Exploit Analysis", March 2023.
Euler Labs, "War & Peace: Behind the Scenes of Euler's $240M Exploit Recovery", January 2024.

Managing smart contract risk

Institutional investors should prioritize protocols with a demonstrated security track record. Key indicators may include multiple independent smart contracts audits by reputable firms, at least 18 months of operational history without major incidents, and active bug bounty programs that reward ethical hackers and security researchers for identify vulnerabilities, all of which signal an ongoing commitment to security.

Diversification is also critical and requires in-depth technical understanding because many DeFi protocols share underlying infrastructure dependencies. Effective diversification involves distributing exposure across different blockchain networks, technological architectures, and development teams with distinct codebases. It does not simply mean allocating to multiple protocols with different brand names.

For institutional investors that lack the required in-house know-how, partnering with specialized asset or fund managers with dedicated blockchain security capabilities can be an effective alternative to building these capabilities internally.

The underlying reality is that smart contract risk can be mitigated but not eliminated. The appropriate question is not whether smart contracts are perfectly safe, but whether DeFi's incremental return potential adequately compensates for the associated technological risks.

Liquidity risks

Understanding DeFi liquidity dynamics

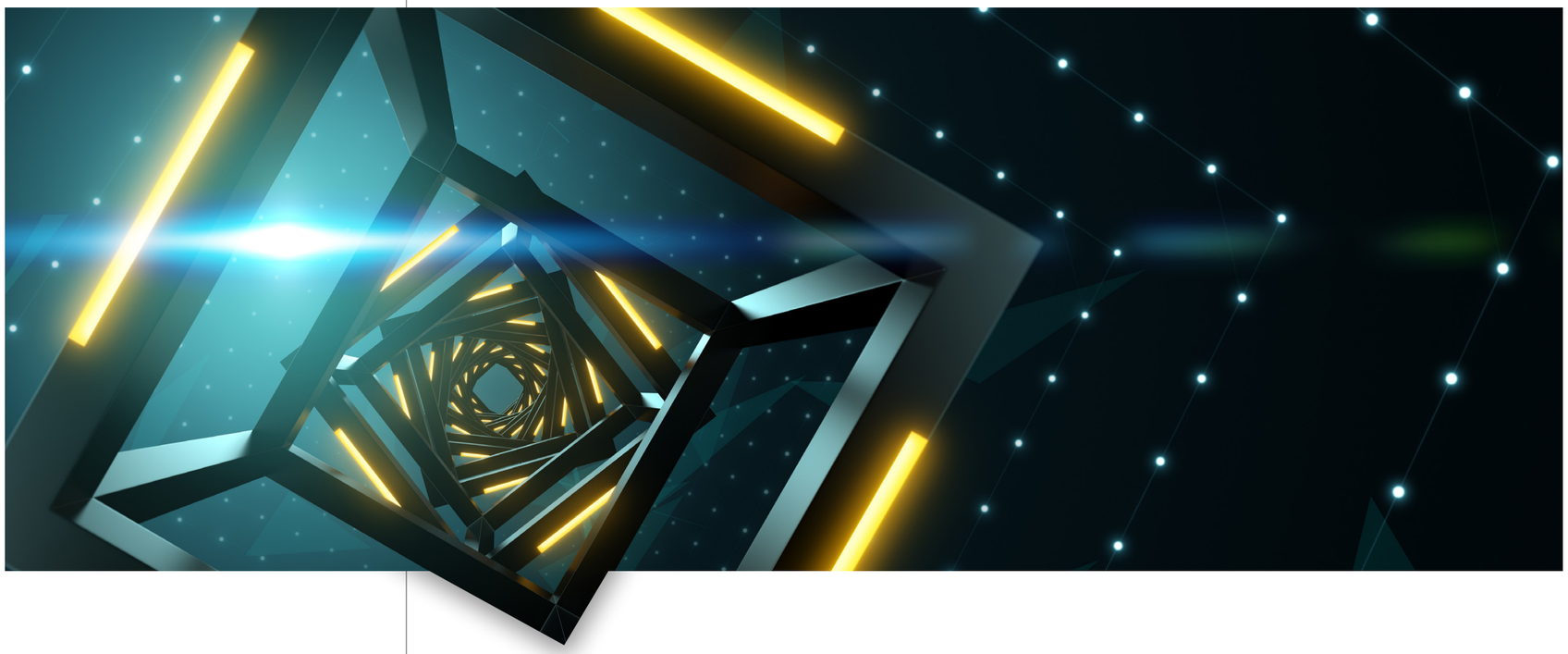
Liquidity risk in DeFi lending differs fundamentally from traditional finance. In centralized markets, banks manage liquidity buffers, central banks provide backstop facilities, and regulations impose minimum ratios.

DeFi protocols have none of these protections. Available liquidity is effectively equal to total value locked (TVL), the aggregate of all user deposits in the protocol. Protocol size therefore becomes a risk variable: A USD 50 million TVL protocol operates under materially different liquidity constraints than Aave (USD 10+ billion TVL) or Compound (USD 3+ billion TVL). Smaller protocols are more exposed to concentration risk and have limited capacity to absorb large redemptions. Liquidity exists only because participants have voluntarily supplied assets and can withdraw them at any time, subject to availability.

Understanding withdrawal mechanics is critical. A DeFi lending pool can be compared to a bank's cash reserve: the more capital is deployed in outstanding loans, the less liquidity remains available for withdrawals. To help prevent pools from becoming illiquid, most protocols use dynamic interest rate curves that rise sharply when utilization exceeds 80-90%, making borrowing increasingly expensive. This mechanism incentivizes borrowers to repay, thereby freeing up liquidity for lenders. Before allocating capital, asset managers should understand these utilization thresholds and assess how quickly rates can be repriced under stress.

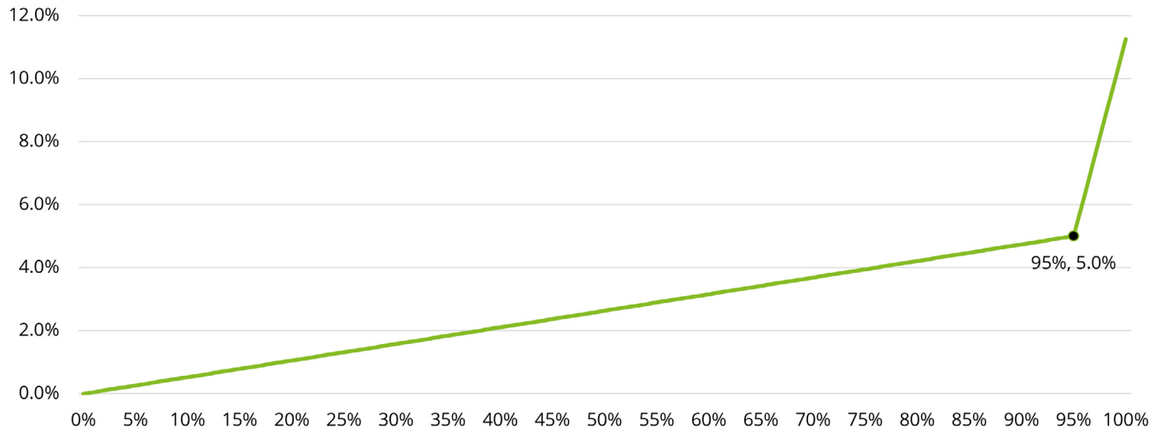
This gives rise to utilization risk, defined as the ratio between supplied and borrowed assets. Protocols such as Aave adjust interest rates dynamically based on utilization. When utilization is moderate (for example, below 70%), withdrawals are typically unconstrained. As utilization approaches 95% or higher, withdrawals become increasingly difficult because most supplied capital is already on loan to borrowers.

The March 2023 USDC depegging episode illustrates this dynamic. As USDC temporarily lost its USD peg, borrowers accelerated repayment of USDC loans while lenders simultaneously sought to withdraw. Utilization rates exceeded 95% on multiple protocols. Withdrawals remained technically possible but often required waiting for borrower repayments or accepting higher costs as interest rates spiked.



Relation between protocol utilization and interest rates

Figure 4 – General interest rate model for DeFi lending protocols



Unlike bank runs, where regulators and central banks can intervene, DeFi protocols continue to operate mechanically. The system does not halt, but available liquidity can decline sharply at precisely the moment it is most needed.

Implementing liquidity risk management

Effective liquidity management in DeFi requires rigorous pre investment analysis and ongoing monitoring:

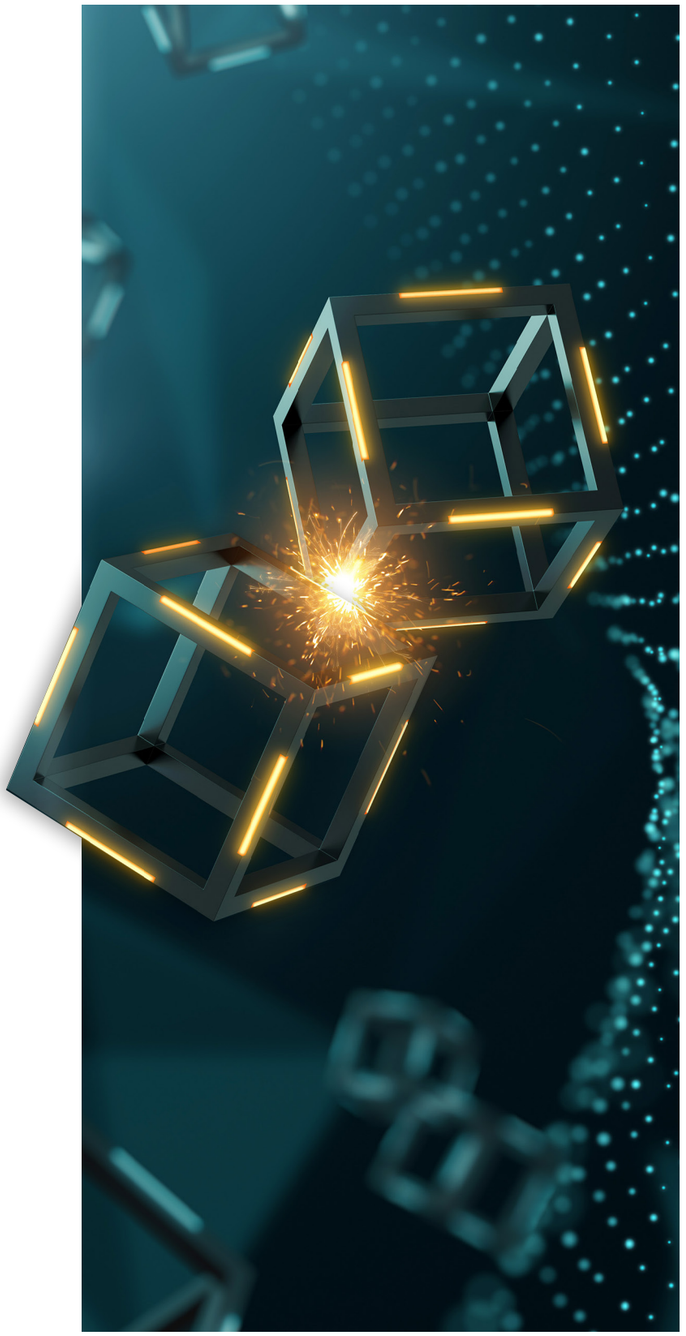
- **Assess TVL relative to position size.** Allocations should represent only a modest share of a protocol's total liquidity and should be reviewed continuously as TVL evolves.
- **Review historical utilization patterns.** Particular attention should be paid to behavior during stress periods. Protocols that typically maintain moderate utilization, with only infrequent and short lived spikes above 80%, exhibit more robust liquidity dynamics.

Best-in-class platforms have demonstrated resilient liquidity across multiple market cycles, including March 2020, May 2021, and the 2022 bear market. Newer protocols may offer higher yields, but these often represent compensation for elevated liquidity risk premiums.

Diversification across protocols can reduce concentration risk, although liquidity may still contract simultaneously across DeFi during systemic stress events. Meaningful diversification entails exposure to protocols operating on different blockchains and serving distinct user bases, rather than simply allocating across multiple Ethereum based platforms.

In relation to DeFi fixed income, the sub-sector is expected to continue growing, but current market depth remains limited for large allocations.

Pendle, currently one of the largest protocols in this space, reports approximately USD 1.2 billion in total value locked and more than USD 500 million in 30-day DEX volume. While these figures demonstrate meaningful activity, they also indicate that the market may not yet have sufficient depth to absorb significant institutional-sized allocations efficiently.



Custody and governance risks

Understanding self-custody in DeFi

DeFi lending requires direct interaction with smart contracts, introducing custody challenges fundamentally different from traditional finance. In traditional finance, investors generally do not hold securities directly; control is typically exercised through specialized regulated entities, such as custodians and depositaries. DeFi operates differently: control over assets derives entirely from possession of cryptographic private keys.

Loss of private keys prevents asset recovery, while unauthorized access to those keys is likely to result in unauthorized fund movements and potential asset loss. These characteristics are inherent to blockchain architecture rather than protocol-specific flaws.

Blockchain ledgers are immutable, which amplifies the risk associated with unauthorized or unintended transactions. Traditional finance allows transaction reversal. Banks can freeze accounts, reverse erroneous transfers, and recover stolen funds through legal processes. Blockchain transactions are irreversible by design.

Institutional custody solutions

The custody model directly impacts operational risk, accessibility, and speed of execution.

Self-custody through a multi-signature wallet[6] managed by internal team members offers maximum flexibility for DeFi interactions. Transactions can be executed rapidly as market opportunities arise. However, this speed comes with operational complexity to ensure sound governance. What happens when a key holder is unavailable? How are keys secured during international travel? What disaster recovery procedures exist if multiple key holders become simultaneously unavailable?

Third-party custodians reduce operational burden but may constrain DeFi protocol accessibility. Understanding custodian capabilities, supported protocols, and operational timelines is essential before committing capital.

Managing custody risk

Effective custody risk management begins with comprehensive key management policies documenting key generation, storage, access controls, and authorization workflows. These policies must be living documents, regularly reviewed, tested, and updated as technology and threats evolve.

Custody controls should be designed to balance security, resilience, and operational efficiency. Authorization and key management arrangements should mitigate concentration risk, unauthorized access, and single points of failure without creating unnecessary operational friction. Overly restrictive controls can create bottlenecks and encourage workarounds that ultimately undermine the intended security framework.

Regular security audits are non-negotiable and must cover both technical infrastructure (wallet configurations, key storage mechanisms, access controls, monitoring) and operational compliance (adherence to procedures, approval workflows, incident handling).

Technical excellence alone is not enough: effective custody risk management depends on consistent operational execution and continuous staff training to maintain critical judgment.

Disaster recovery planning and testing must explicitly address custody-specific scenarios, including hardware wallet failures, the unavailability of key holders, and controlled procedures for accessing and rotating backup keys.

What comes next

These three risk categories represent critical considerations that differentiate DeFi from traditional finance. They are not reasons to avoid DeFi altogether, but rather areas that demand specialized knowledge and adapted risk management frameworks.

For institutional investors, the strategic question is clear: should they develop internal capabilities to manage these risks directly, or partner with specialized managers who have already addressed these challenges at scale?

In the next section, we examine how regulated fund structures can provide streamlined access to DeFi opportunities while professionally managing the risks outlined above, enabling institutional investors to participate in emerging yield opportunities without the need to build proprietary blockchain infrastructures.

6. A multi-signature wallet requires multiple private keys (e.g., three out of five) to authorize transactions, preventing any single key holder from unilaterally moving assets.

PART 3

From theory to practice

Accessing DeFi through regulated fund structures

The built-internally versus partner decision

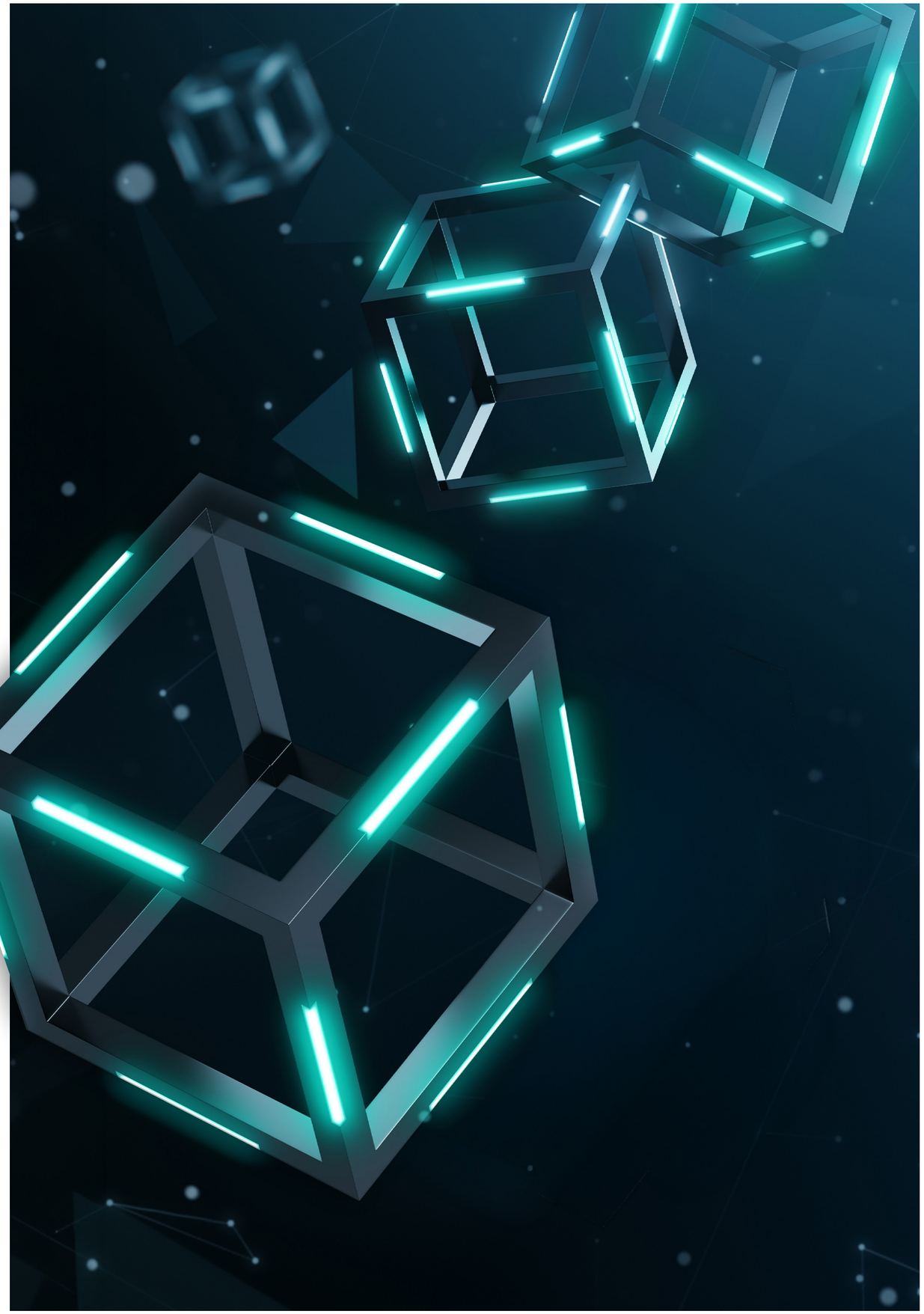
After understanding DeFi's operational complexities and risks, institutional investors face a fundamental strategic choice: whether to build internal capabilities to manage DeFi exposure directly or leverage service providers such as specialized fund managers.

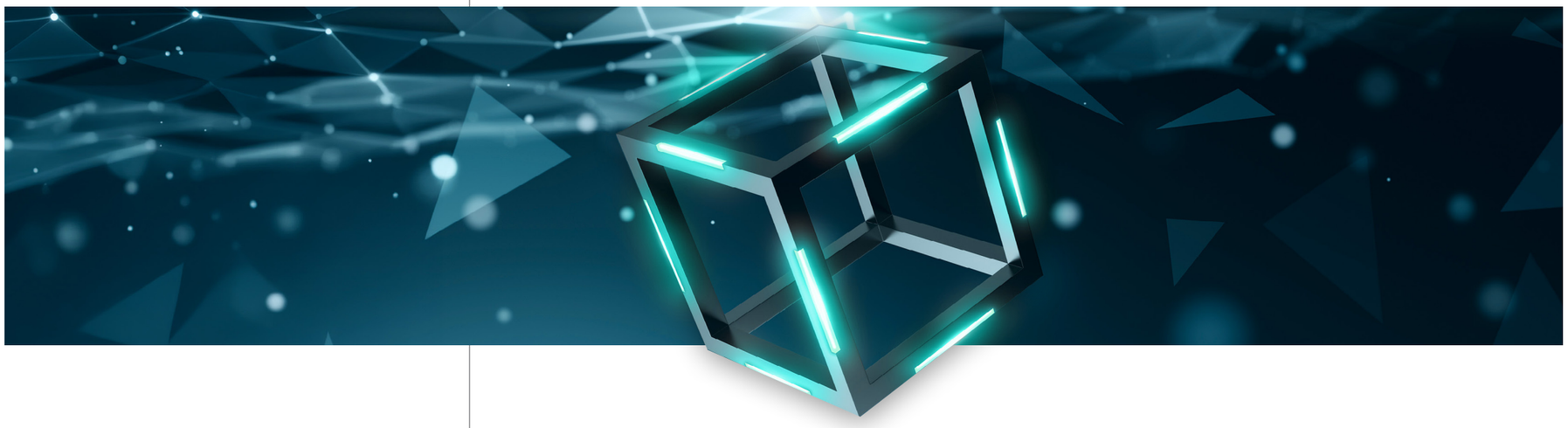
Building internal DeFi capabilities requires substantial upfront investments. Blockchain infrastructure specialists are needed to manage node operations and wallet architectures. Risk management teams must develop entirely new frameworks for smart contract analysis and protocol monitoring. Compliance functions require know-how and capacity to interpret and assess transactions under evolving regulatory landscape. Legal teams must navigate custodial arrangements that do not fit traditional prime brokerage models or traditional contractual frameworks.

These are not one-time costs. DeFi protocols evolve continuously. Maintaining competitive DeFi capabilities requires dedicated resources to continuously monitor multiple of protocols across different blockchains.

For most institutional investors seeking measured DeFi exposure as one component of diversified portfolios, the resource commitment would be disproportionate to the allocation size. This mirrors how institutional investors traditionally access specialized strategies: they allocate to specialized managers who have built domain knowledge, operational infrastructure, and compliance and risk frameworks specific to those asset classes.

DeFi presents similar logic: delegate operational and technological complexity to regulated specialists, while retaining strategic allocation decisions.





Professional risk management at scale

Not all regulated fund types are permitted to invest in crypto-assets. At the time of writing, only alternative investment funds (AIFs) under the AIFMD framework provide institutional grade route to DeFi exposure while enabling the professional management of the risks outlined in previous sections.

Specialized DeFi fund managers with the appropriate license ("other-other-virtual assets" in Luxembourg) implement rigorous protocol evaluation frameworks that most institutional investors would struggle to replicate in-house. They review smart contract code, analyze audit reports, assess historical security track records, and monitor ongoing protocol upgrades. When protocols suffer exploits or exhibit emerging risks, authorized AIFMs can rapidly assess exposure through specialized monitoring tools and alerts, and execute appropriate responses, such as automated position wind-downs.

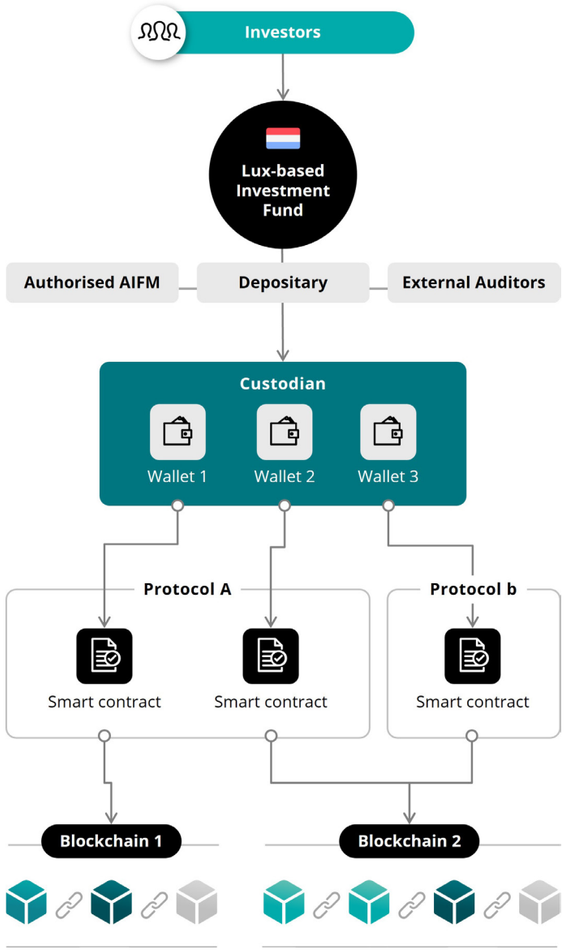
Critically, professional managers also address the custody challenge by sourcing this function to authorized MiCA-compliant crypto-asset service providers (CASPs). These regulated custodians operate under strict MiCA requirements, including asset segregation, operational resilience, and insurance or own funds requirements, designed to protect client assets. As a result, fund managers do not handle private keys themselves, reducing operational risk and aligning DeFi exposure with institutional compliance and risk management standards.

Simplified operations and strategic focus

Accessing DeFi through regulated funds simplifies operational implementation. Performance can be monitored using familiar metrics: standardized NAV calculations, performance attribution, and risk reporting comparable to other alternative investments.

DeFI regulated fund: Operational setup

Figure 5 – Illustrative setup for regulated DeFi investment funds



Managing and controlling tax risks

Luxembourg offers two broad categories of fund vehicles for DeFi strategies, each with distinct tax consequences:

- **Fiscally transparent structures**, principally the *Société en Commandite Spéciale* (S.C.Sp), are treated as look-through entities for Luxembourg income tax purposes, meaning income is attributed directly to investors without taxation at fund level.
- **Fiscally opaque vehicles**, typically set up as a Reserved Alternative Investment Fund (RAIF) or a Specialized Investment Fund (SIF), are treated as standalone taxpayers but benefit from a highly favorable statutory regime.

This structural choice is not neutral in a DeFi context. Asset managers should assess its implications for both the fund and its investors before launch.

Typically, three risk areas deserve particular attention in partnership-based DeFi funds:

1. **Commercial activity risk.** Luxembourg tax law distinguishes passive investing from active trading. DeFi strategies involving systematic liquidity provision or high-frequency yield farming may be recharacterized as a commercial activity, potentially exposing the partnership to municipal business tax.
2. **Anti-hybrid mismatch risk under Anti-Tax Avoidance Directive (ATAD) 2:** Where a Luxembourg S.C.Sp is treated as opaque by investors' home jurisdictions, Luxembourg's reverse hybrid rules may trigger entity-level taxation on income that would otherwise be treated as tax transparent and flow through untaxed.
3. **Dry income risk:** Investors in transparent funds are taxed on their allocable share of income as it accrues, regardless of cash distributions. In DeFi strategies, a significant portion of returns (yield generated, protocol incentives, staking rewards) may be illiquid, creating current tax liabilities without corresponding cash receipts.

A corporate RAIF or SIF benefits from a complete exemption from Luxembourg corporate income tax and municipal business tax on investment income, including gains, interest, and dividends. Instead of income taxation, these vehicles are subject only to an annual subscription tax levied at 0.01% of net assets under the SIF regime. Distributions to investors are not subject to Luxembourg withholding tax, irrespective of the investors' residence or the nature of the underlying income, which significantly simplifies cross-border structuring. Critically for DeFi, the opaque wrapper eliminates the risks described above: investors are taxed solely under their domestic rules upon actual receipt of distributions or disposal of fund interests.

Luxembourg VAT considerations

When assessing Luxembourg VAT aspects, attention must be paid to:

- The different transactions performed by the fund (e.g., depositing a token into a lending pool with the protocol minting a receipt token).
- The services it receives (e.g., portfolio management services, fund accounting).
- The types of costs incurred (e.g., transaction costs such as gas and trading/swap fees, withdrawal fees, custody fees).

Services of portfolio management and fund accounting provided to a Luxembourg fund qualifying as an AIF should be exempt from Luxembourg VAT, and thus no Luxembourg VAT should be due on such fees. Luxembourg has a long-standing VAT practice regarding the treatment of these services, which also applies to more "traditional" Luxembourg AIFs.

Given the very limited guidance on the VAT treatment of crypto-assets, determining the VAT treatment of specific costs incurred by a Luxembourg AIF investing through DeFi tokens can be challenging.

Where gas, trading/swap, and withdrawal fees have no identifiable service provider (notably in pure DeFi), they should typically fall outside the scope of VAT and therefore not be subject to it. By contrast, custody fees charged by a third-party custodian will likely be subject to Luxembourg VAT.

Determining whether VAT applies to the costs incurred by a Luxembourg AIF is essential, as any VAT charged will be non deductible and therefore represents an additional cost to the fund.

Conclusion

Ultimately, regulated DeFi funds allow institutional investors to address a central question: where should we allocate our limited resources?

Building internal DeFi capabilities requires dedicating scarce technical, operational, and compliance resources to infrastructure development. By contrast, accessing DeFi through specialized managers allows those resources to remain focused on core competencies: strategic asset allocation, manager selection, and portfolio construction.

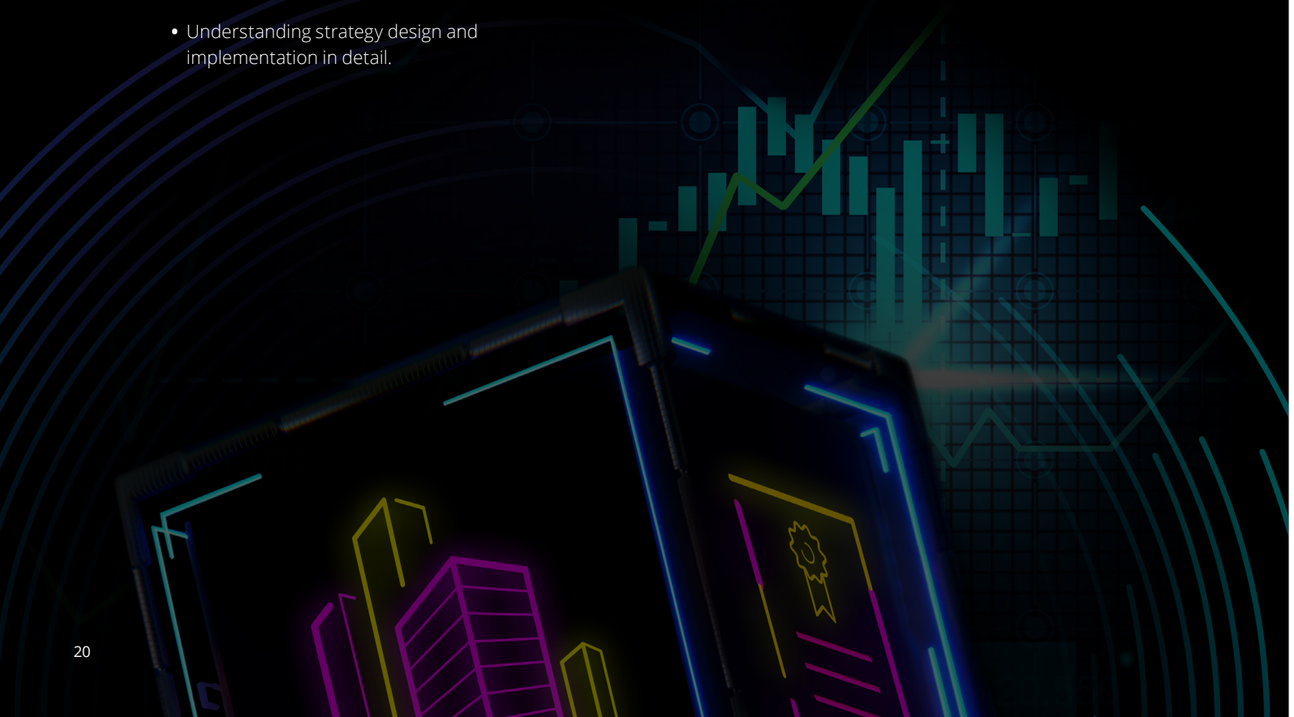
This does not imply passive delegation. Sophisticated institutional investors rigorously evaluate fund managers by:

- Analyzing track records and domain expertise.
- Assessing risk management frameworks.
- Reviewing operational infrastructure and service providers.
- Understanding strategy design and implementation in detail.

However, this due diligence assesses a fund manager's capabilities once, rather than replicating and continuously maintaining equivalent capabilities in-house. The investor's role shifts from operational implementation to strategic oversight, including:

- Monitoring performance and risk.
- Assessing ongoing fit of the strategy within the broader portfolio.
- Evaluating whether the manager continues to execute effectively and adapt to market developments.

For most institutional investors, this represents an efficient resource allocation: they can access emerging DeFi opportunities through managers who have already solved operational and regulatory complexities, while retaining strategic control over portfolio allocation and overall risk.



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6 Monks

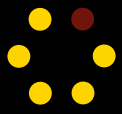


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